

# LABOUR LAW - II : UNIT I

## WAGES & THE CODE ON WAGES, 2019

LL.B (3-YDC) IV Semester | Osmania University - Faculty of Law

🎯 TARGET: 75+ MARKS | UNIT I COVERAGE: 100%

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## UNIT I — OVERVIEW & SYLLABUS SCOPE

### ★★★★★ Topic Importance

Unit I deals **ONLY** with **WAGES** under the Code on Wages, 2019.



### What's IN Unit I

- Concept of wages (Minimum, Fair, Living)
- Wage and Industrial Policies
- Whitley Commission Recommendations
- Code on Wages, 2019 — provisions on wages
- Timely payment of wages
- Authorized deductions
- Minimum wages — fixation, revision, claims
- Definitions, types of wages
- Claims and remedy procedure



### What is NOT in Unit I

- **✗ Bonus** — that's Unit II
- **✗ Employees' Compensation Act** — that's Unit III
- **✗ ESI Act** — that's Unit III
- **✗ Gratuity, EPF, Maternity** — that's Unit IV
- **✗ Factories Act, Child Labour, Equal Remuneration** — that's Unit V



### Expected Exam Questions from Unit I

- **Part A:** 1-2 short notes (Whitley, Min/Fair/Living wage, Authorized Deductions)
- **Part B:** Likely 1 long essay (Three wage concepts OR Code on Wages features OR Minimum Wage fixation)
- **Part C:** Possibly 1 problem (wage payment violation OR deduction exceeding limit)



### Critical Numbers to Memorize

- Whitley Commission: **1929** (Report **1931**)
- Code on Wages: **2019** (assent **8 August 2019**)
- Fair Wages Committee: **1948** (chaired by **Justice Divatia**)
- Wage ceiling for monthly payment: by **7th of next month**
- Maximum deduction: **50%** (75% for co-op society dues)
- Maximum fine: **3%** of wages
- Minimum wage revision interval: **5 years**
- Claim limitation: **3 years**
- First offence penalty: **Rs.50,000**

## PART A — SHORT NOTES (6 marks each)

### A.1 — Whitley Commission Recommendations ★★★★★

**Definition:** The **Royal Commission on Labour in India**, set up by the British Government in **1929** under the chairmanship of **Mr. J.H. Whitley**. It was the **FIRST** comprehensive study of Indian labour. The Commission submitted its report in **1931**.

**Members:** J.H. Whitley (Chairman), Sir Victor Sassoon, N.M. Joshi (Indian labour leader), and other British and Indian members.

#### Key Recommendations on Wages:

- **Statutory minimum wages** through Wage Boards
- **Reduction of working hours** to 54 per week and 10 per day
- **Regular payment of wages** in cash, on fixed dates
- **Prohibition of unauthorized deductions** and arbitrary fines
- **Equal remuneration for equal work** to be encouraged
- **Special protection** for women and child labour

#### Other Recommendations:

- Industrial Disputes settlement machinery — Works Committees
- Social security — maternity, sickness, workmen's compensation
- Trade union recognition

#### Impact on Indian Wage Law:

- **Payment of Wages Act, 1936** — direct outcome
- **Minimum Wages Act, 1948** — implementing minimum wage idea
- Many provisions absorbed in the **Code on Wages, 2019**

📌 **Example:** The Code on Wages, 2019 — with its mandate of monthly payment by 7th, prohibition of arbitrary deductions, and statutory minimum wage — directly traces back to Whitley recommendations made 95 years ago.

💡 **TIP:** Mnemonic — “**19-29 Whitley came, 19-31 the report became.**”

### A.2 — Concept of Wages [Section 2(y)] ★★★★★

**Definition [Section 2(y), Code on Wages 2019]:** “Wages” means **all remuneration** (whether by way of salary, allowances or otherwise) **expressed in terms of money** capable of being so expressed, which would be payable to a person employed if the terms of employment were fulfilled.

#### INCLUDES (3 components):

- **Basic pay**
- **Dearness Allowance (DA)**
- **Retaining allowance** (if any)

### EXCLUDES (10 components):

- Bonus payable under any law
- Value of house accommodation
- HRA (House Rent Allowance)
- Conveyance allowance
- Overtime allowance
- Commission
- PF / pension contributions
- Gratuity
- Retrenchment compensation
- Payment under settlement award

### Anti-Abuse Provision:

- If excluded components **exceed 50%** of total remuneration, the excess shall be **added back** to “wages”
- This prevents employers from artificially reducing basic pay to dodge benefits

### Significance:

- **Uniform definition** across all 4 labour codes
- Ensures consistent base for minimum wage, PF, gratuity calculations
- Prevents wage manipulation by employers

 **Example:** Total monthly pay Rs.40,000 with:

- Basic Rs.10,000 (25%) + HRA Rs.20,000 + Allowances Rs.10,000
- Since excluded items exceed 50% (Rs.30,000 of Rs.40,000), the excess gets added back to “wages” for statutory benefit calculation

 **TIP:** Remember “3 In, 10 Out, 50% Anti-Abuse”

## A.3 — Minimum Wage ★★★★★

**Source:** Originally defined by the **Committee on Fair Wages (1948)**, chaired by **Justice Divatia**. Now statutorily fixed under **Section 6 of the Code on Wages, 2019**.

**Definition:** The wage that **MUST be paid** to a worker irrespective of the employer’s capacity to pay. It is the **FLOOR** below which no wage can fall.

### What it Covers:

- **Bare physical subsistence** — food, clothing, shelter
- **Minimum education** for children
- **Minimum medical needs**
- **Other basic amenities**

### Components [Section 6(6)]:

- Basic wage
- Cost of living allowance (DA)
- Cash value of essential commodities supplied at concessional rate

#### Fixation Factors [Section 6]:

- **Skill level** — unskilled / semi-skilled / skilled / highly skilled
- **Geography** — rural / urban / metropolitan
- **Difficulty and hazard** of work
- **Cost of living index**

#### Key Points:

- Non-payment is a **criminal offence**
- Must be paid even if employer cannot afford
- *Crown Aluminium Works v. Workmen (1958)* — If industry cannot pay minimum wage, it must close down

🔪 **Case:** *Workmen v. Reptakos Brett & Co. (1992)* — SC laid down 6 components for need-based minimum wage:

- 3 consumption units per earner
- 2,700 calories per day
- 18 yards of cloth per year
- Rent at industrial housing rate
- Fuel, lighting at 20%
- Additional 25% for education, medical, contingencies

📌 **Example:** A factory worker doing unskilled work in a metropolitan area earning Rs.10,000/month meets minimum wage if State has notified Rs.10,000 as minimum for that skill-area category.

### A.4 — Fair Wage ★★★★★

**Source:** Defined by **Committee on Fair Wages (1948)** — Justice Divatia. Recognized in *Standard Vacuum Refining Co. v. Workmen (1961)*.

**Definition:** Fair Wage lies **ABOVE** the minimum wage but **BELOW** the living wage. It is the wage that workers can legitimately expect when industry is doing reasonably well.

#### Determining Factors:

- **Productivity of labour**
- **Prevailing rates** of wages in same or similar occupations
- **Level of national income**
- **Industry's place** in the economy
- **Industry's capacity to pay**

#### Limits:

- **Lower limit:** Minimum wage (cannot fall below)
- **Upper limit:** Industry's capacity to pay

#### Key Features:

- Variable — depends on industry's prosperity
- Linked to productivity
- Adjusted through collective bargaining
- Industry-specific (not universal)

#### Distinction from Minimum Wage:

| Feature         | Minimum Wage     | Fair Wage                   |
|-----------------|------------------|-----------------------------|
| Purpose         | Bare subsistence | Comparable to industry      |
| Capacity to pay | Irrelevant       | Relevant                    |
| Source          | Statutory        | Bargaining + Industry norms |
| Flexibility     | Fixed by State   | Variable                    |

#### Example:

- A textile industry worker earning Rs.18,000/month when:
- Minimum wage (statutory) is Rs.12,000
- Living wage (ideal) is Rs.30,000
- Rs.18,000 = Fair wage (above minimum, below living, reflects industry norms)

### A.5 — Living Wage ★★★★★

**Source:** Defined by **Committee on Fair Wages (1948)**. Constitutional goal under **Article 43**.

**Definition:** The HIGHEST standard of wages. It enables the worker to live in “**FRUGAL COMFORT**” — not just survival, but a decent quality of life.

#### What it Covers:

- All basic needs (food, clothing, shelter)
- **Education for children**
- **Protection against ill-health**
- **Social needs** — recreation, leisure
- **Old-age security** — savings, insurance
- **Contingencies** — emergencies, accidents

#### Constitutional Mandate [Article 43]:

“The State shall endeavour to secure, by suitable legislation or economic organization or in any other way, to all workers, agricultural, industrial or otherwise, work, a **living wage**, conditions of work ensuring a decent standard of life...”

#### Key Points:

- Living wage is a **directive principle**, not enforceable directly
- It is the **IDEAL** that wage policy should achieve
- India has not yet achieved universal living wage
- Current focus: ensuring minimum wage; living wage is aspirational

### Three-Tier Wage Structure:

- Minimum Wage (statutory floor)
- → Fair Wage (industry-linked)
- → Living Wage (ultimate goal)

🔑 **Case:** *Standard Vacuum Refining Co. v. Workmen (1961)* — SC explained the three-tier structure of wages and held that living wage is the **ULTIMATE GOAL** of wage policy.

### 📌 Example:

- A worker earning Rs.35,000/month with:
- Adequate food, decent housing
- Children in school with fees paid
- Medical insurance
- Savings for retirement
- Occasional family outings
- This worker has reached a “living wage” level — what every Indian worker should ideally earn

💡 **TIP:** Mnemonic — “**MFL = Minimum, Fair, Living**” — Money grows Fair to Live well.

## A.6 — National Floor Wage ★★★★★

**Provision:** Section 9 of Code on Wages, 2019.

**Definition:** A **minimum wage floor** fixed by the **Central Government** for the entire country, below which **NO State** can fix its minimum wage.

### Key Features:

- Fixed considering **minimum living standards** of workers
- May differ for different **geographical areas**
- State governments **MUST** fix minimum wage **AT or ABOVE** the floor wage
- Reviewed periodically

### Procedure [Section 9]:

1. Central Government consults State Governments
2. Central Advisory Board examines proposals
3. Notification published in Official Gazette
4. Becomes binding on all States

### Significance:

- Eliminates **wide variation** in minimum wages across States
- Ensures **uniform basic protection** for all workers in India
- Prevents **race-to-the-bottom** competition between States
- Implements **Article 43** mandate (living wage)

### Historical Note:

- The concept existed since **1996** as a NON-BINDING recommendation by Central Government
- Was around Rs.137-178/day (varying by region)
- The **Code on Wages, 2019** made it **STATUTORY** and **BINDING** on all States

### Difference from Minimum Wage:

| Feature  | National Floor Wage | State Minimum Wage     |
|----------|---------------------|------------------------|
| Fixed by | Central Government  | State Government       |
| Scope    | Whole India         | Within State           |
| Purpose  | Universal floor     | Specific to employment |
| Status   | Binding floor       | Above the floor only   |

### 📌 Example:

- Central Government fixes National Floor Wage at Rs.178/day
- Maharashtra cannot fix minimum wage below Rs.178/day for any scheduled employment
- Maharashtra may fix HIGHER (e.g., Rs.250/day for skilled work) but not lower
- Similarly, Telangana, Andhra Pradesh — all bound by Rs.178/day floor

## A.7 — Authorized Deductions ★★★★★

**Provision:** Section 18 of Code on Wages, 2019.

**General Rule:** Wages of an employee **cannot be deducted** except for purposes specifically authorized by law. Withholding of wages is illegal.

### Categories of Authorized Deductions [Section 18(2)]:

- (a) **Fines** (Section 19, with limits)
- (b) **Absence from duty**
- (c) **Damage to or loss of goods** entrusted to employee (due to neglect/default)
- (d) **House accommodation** supplied by employer
- (e) **Amenities and services** provided by employer (NOT tools)
- (f) **Recovery of advances** (loans, festival advances)
- (g) **Recovery of over-payment** of wages
- (h) **Income tax** payable by employee



- (i) **Court-ordered deductions** (maintenance, etc.)
- (j) **Statutory contributions** (PF, ESI)
- (k) **Co-operative society** subscriptions
- (l) **Insurance premium** (with employee's written consent)
- (m) **Welfare fund** loan recoveries
- (n) **PM National Relief Fund** (with consent)
- (o) **Trade union fee** (check-off, with consent)

#### Limits on Deductions [Section 18(3)]:

- **Total deductions cannot exceed 50%** of wages in any wage period
- **For co-operative society dues** — limit raised to **75%**
- Excess deductions must be **carried forward** to next wage period

#### Special Rules for Fines [Section 19]:

- Cannot exceed **3% of wages** in any wage period
- Cannot be imposed on workers **below 15 years**
- Must be recovered within **90 days**
- Must be entered in a register
- Fine collected goes to a fund for workers' benefit

#### **Example:**

- Worker earning Rs.20,000/month
- Maximum total deductions = **Rs.10,000 (50%)**
- Maximum fine = **Rs.600 (3%)**
- If employer deducts Rs.12,000 (60%) — illegal; worker can claim refund + compensation

#### Penalty for Wrongful Deduction [Section 54]:

- First offence: Fine up to Rs.50,000
- Repeat (within 5 years): Imprisonment up to 3 months + fine up to Rs.1 lakh

## A.8 — Fines under Wage Law ★★★★★

**Provision:** Section 19 of Code on Wages, 2019.

**Definition:** A fine is a **penalty imposed by the employer** on an employee for misconduct, deducted from wages — but only subject to strict legal limits and procedures.

#### Procedural Requirements:

##### 1. *Pre-Approval*

- Fine can be imposed only for acts/omissions specified by employer
- **Prior approval of appropriate government** required
- A list of fineable acts must be **displayed** at workplace

## *2. Notice in Local Language*

- List must be in **English AND local language**
- Placed at conspicuous location
- Updated as needed

## *3. Show-Cause Opportunity*

- Worker must be given **opportunity to be heard** before fine
- Principles of natural justice apply
- Written explanation may be required

## *4. Limits*

- **Cannot exceed 3% of wages** in any wage period
- **Cannot be imposed on workers below 15 years**
- Cannot be imposed in instalments

## *5. Time Limit*

- Must be recovered within **90 days** of the act/omission
- Cannot be imposed after this period

## *6. Register*

- All fines must be entered in a **prescribed register**
- Open for inspection
- Records to be preserved

## *7. Use of Fine Money*

- Fines collected must be applied for **purposes beneficial to employees**
- As approved by appropriate government
- **Cannot become employer's profit**

### **Examples of Fineable Acts:**

- Reporting late to duty (with rules)
- Failure to wear safety equipment
- Sleeping on duty
- Negligent damage to small items
- Smoking in prohibited areas

### **Example:**

- Worker earning Rs.20,000/month commits negligence
- Maximum fine = **Rs.600 (3% of Rs.20,000)**
- Employer must:
  - Give show-cause notice
  - Recover within 90 days
  - Enter in register
  - Use money for workers' benefit (not own profit)
- If employer deducts Rs.1,000 as fine — illegal; worker can claim refund + compensation

## A.9 — Wage Boards ★★★★★

**Definition:** Tripartite bodies set up by the appropriate government to recommend **wage rates for specific industries** — first recommended by the **Whitley Commission (1929)** and adopted in India after Independence.

**Composition (Typical):**

- **Chairman** — independent person (often a retired judge)
- **Representatives of employers**
- **Representatives of workers/trade unions**
- **Government representatives**
- **Independent expert(s)**

**Types of Wage Boards in India:**

### *1. Statutory Wage Boards*

- Set up under specific legislation
- Example: Working Journalists Wage Board (Working Journalists Act, 1955)

### *2. Non-Statutory (Ad-hoc) Wage Boards*

- Set up by Government notification
- Industry-specific
- Examples:
  - Cotton Textile Wage Board (1957)
  - Sugar Wage Board
  - Cement Wage Board
  - Iron and Steel Wage Board
  - Tea Plantation Wage Board

**Functions:**

- Examine **wage structure** of an industry
- Recommend **minimum wages**
- Recommend **dearness allowance**
- Recommend **bonus** levels
- Suggest **grading of workers** (unskilled/skilled/highly skilled)
- Recommend **working conditions**

**Status under Code on Wages, 2019:**

- The Code provides for **Central and State Advisory Boards** [Section 42]
- These advise government on minimum wage fixation
- Composition: independent persons + employer reps + worker reps + women members
- **One-third members must be women**

**Significance:**

- Brings together all stakeholders (tripartite approach)
- Industry-specific solutions
- Implements Whitley's vision of structured wage fixation

#### **Example:**

- Indian Cement industry — Cement Wage Board recommends wage scales for unskilled, semi-skilled, and skilled cement workers
- Government accepts recommendations and notifies them as minimum wage
- Workers across the country benefit from uniform wage standards

## A.10 — Wage Policy in India ★★ ★

**Definition:** Government's framework to ensure fair wages, narrow wage disparities, link wages to productivity, and protect workers from exploitation.

### Evolution of Indian Wage Policy:

#### *Phase 1: Pre-Independence (1929-47)*

- **Whitley Commission (1929-31)** — First foundation
- **Payment of Wages Act, 1936** — Regulated timely payment
- **Constitution drafting** — Articles 39, 43 included

#### *Phase 2: Post-Independence Foundation (1947-60)*

- **Industrial Truce Resolution, 1947** — Wages linked to peace
- **Minimum Wages Act, 1948** — First minimum wage law
- **Fair Wages Committee, 1948** — Three wage concepts defined
- **Factories Act, 1948**

#### *Phase 3: Wage Boards Era (1957-69)*

- Industry-wise wage boards set up
- Cotton Textile Wage Board (1957), Sugar Wage Board
- **First National Commission on Labour (1969)** — Gajendragadkar Commission

#### *Phase 4: Pay Commissions (For Public Sector)*

- 7 Pay Commissions so far (1946 to 2015-16)
- 8th Pay Commission expected
- Periodic revision of central government employee pay

#### *Phase 5: Comprehensive Review (1990s-2010s)*

- **National Floor Level Minimum Wage (1996)** — non-binding
- **Second National Commission on Labour, 2002** — Ravindra Varma
- Recommended consolidation of labour laws

#### *Phase 6: Codification Era (2019)*

- **Code on Wages, 2019** — Consolidates 4 wage laws:
  - Payment of Wages Act, 1936

- Minimum Wages Act, 1948
- Payment of Bonus Act, 1965
- Equal Remuneration Act, 1976
- **National Floor Wage** made statutory and binding

#### Goals of Wage Policy:

- Ensure **minimum living standard**
- Reduce **wage disparities** across sectors/regions/gender
- Link wages to **productivity**
- Maintain **price stability**
- Promote **industrial peace**
- Implement **Articles 39, 41, 42, 43** of Constitution

#### Current Challenges:

- Wide rural-urban wage gap
- Unorganised sector — weak enforcement
- Gender wage gap (23-30% globally for India)
- Gig economy workers — outside traditional framework
- Inflation eroding real wages

 **Example:** The Government of India announces a National Floor Wage of Rs.178/day. No State can fix minimum wage below this — implementing the wage policy.

## PART B — LONG ESSAYS (15 marks each)

### B.1 — Three Wage Concepts (Minimum/Fair/Living) with Whitley Commission ★★★★★

 **STRUCTURE:** Introduction → Definition of Wages → Three Concepts → Whitley Commission → Code on Wages 2019 → Cases → Conclusion

#### Introduction

Wages are the **lifeblood of every worker** — they determine the quality of life of an employee and his family. The concept of wages has evolved from a mere contractual payment into a constitutional and statutory right. India's wage policy has been shaped by the **Whitley Commission (1929)**, the **Committee on Fair Wages (1948)**, and culminated in the **Code on Wages, 2019** — which consolidates four laws into one comprehensive legislation.

#### Definition of Wages [Section 2(y), Code on Wages 2019]

“Wages” means all remuneration capable of being expressed in money, payable to a person employed.

- **INCLUDES:** Basic pay + Dearness Allowance + Retaining allowance

- **EXCLUDES:** Bonus, HRA, conveyance, overtime, commission, gratuity, PF contribution
- **Anti-abuse:** Excluded components cannot exceed 50% of total remuneration

## The Three Concepts of Wages

These concepts were laid down by the **Committee on Fair Wages (1948)** chaired by **Justice Divatia**, and judicially recognized in numerous Supreme Court decisions.

### 1. Minimum Wage

This is the wage that **MUST be paid** irrespective of employer's capacity to pay. It covers:

- **Bare physical subsistence** — food, clothing, shelter
- **Minimum education, medical, and other amenities**
- Non-payment is a **criminal offence**
- Fixed and revised by appropriate government under **Section 6** of the Code on Wages, 2019

🏛️ **Case:** *Crown Aluminium Works v. Their Workmen (1958)* — SC held that minimum wage must be paid even if industry cannot afford it; if it cannot, it must close down.

🏛️ **Case:** *Workmen v. Reptakos Brett & Co. (1992)* — SC laid down 6 components for fixing need-based minimum wage:

- 3 consumption units per earner
- 2,700 calories per day
- 18 yards of cloth per year
- Rent at industrial housing scheme rate
- Fuel, lighting at 20% of total
- Additional 25% for education, medical, contingencies

### 2. Fair Wage

Lies **above the minimum wage** but **below the living wage**. Determined by considering:

- Productivity of labour
- Prevailing rates of wages in same/similar occupations
- Level of national income
- Industry's place in the economy
- Industry's capacity to pay

**Lower limit:** Minimum wage. **Upper limit:** Industry's capacity to pay.

It is the wage that workers can legitimately expect when industry is doing reasonably well.

### 3. Living Wage

This is the **HIGHEST standard**. It enables the worker to live in ‘**frugal comfort**’:

- Education for children
- Protection against ill-health
- Social needs
- Old-age security
- Insurance for emergencies

The Constitution under **Article 43** directs the State to secure a living wage for all workers.

⚖️ **Case: *Standard Vacuum Refining Co. v. Workmen* (1961)** — SC explained the three-tier structure of wages and held that living wage is the **ULTIMATE GOAL**.

#### Whitley Commission Recommendations (1929-31)

The Royal Commission on Labour, chaired by J.H. Whitley, was the **FIRST** comprehensive study of Indian labour. Its key recommendations on wages were:

- **Statutory minimum wages** through Wage Boards
- **Wages paid regularly** in cash, on fixed dates
- **Unauthorized deductions and fines prohibited**
- **Working hours reduced** to 54 per week
- **Equal remuneration for equal work** to be encouraged
- **Special protection** for women and child labour

The **Payment of Wages Act, 1936** and **Minimum Wages Act, 1948** are direct outcomes of Whitley recommendations.

#### Code on Wages, 2019 — Provisions on Wages

- **Universal coverage:** Applies to ALL employees — organized AND unorganized sectors (earlier laws applied only to scheduled employments)
- **Floor wage [Section 9]:** Central Government fixes a **NATIONAL FLOOR WAGE** based on minimum living standards. No State can fix minimum wage below this
- **Minimum wage [Section 6]:** Fixed considering skill, geography, and difficulty of work. Revised every 5 years
- **Timely payment [Section 17]:** Monthly — by 7th of next month; Weekly — last day of week; Daily — end of shift
- **Authorized deductions [Section 18]:** Only for fines, absence, damage caused by neglect, advances, income tax, etc. Total deductions not to exceed 50%
- **Equal Remuneration [Section 3]:** No discrimination between male, female, transgender workers for same/similar work
- **Penalties [Sections 54-56]:** Non-payment attracts fine up to

Rs.50,000 (first offence) and imprisonment up to 3 months for repeat

### Important Case Laws

⚖️ **Case:** *People's Union for Democratic Rights v. Union of India (1982)* — SC held non-payment of minimum wage is **forced labour** and violates **Article 23**.

⚖️ **Case:** *Sanjit Roy v. State of Rajasthan (1983)* — Workers engaged in famine relief work also entitled to minimum wages.

⚖️ **Case:** *Hydro (Engineers) Pvt. Ltd. v. Workmen (1969)* — Minimum wage cannot be fixed in isolation; must consider industry capacity to some extent.

### Conclusion

The three concepts of wages reflect India's commitment to **social justice**. The **Code on Wages, 2019** modernizes and unifies wage legislation, ensuring universal coverage. Yet, the goal of LIVING WAGE under **Article 43** remains aspirational. Strict enforcement, periodic revision, and judicial vigilance are essential to translate the constitutional promise of "social and economic justice" into reality for India's working class.

## B.2 — Salient Features of the Code on Wages, 2019



### Introduction

The **Code on Wages, 2019** received Presidential assent on **8th August 2019**. It is one of the FOUR labour codes brought in to consolidate and rationalize India's complex labour laws. The Code subsumes four earlier statutes:

- Payment of Wages Act, 1936
- Minimum Wages Act, 1948
- Payment of Bonus Act, 1965
- Equal Remuneration Act, 1976

...into a single comprehensive legislation.

### Objectives of the Code

- Consolidate four wage-related laws into one
- Provide universal minimum wage and timely payment of wages
- Eliminate gender-based wage discrimination
- Simplify compliance and reduce litigation
- Bring unorganised sector workers within wage protection framework
- Align Indian wage law with ILO standards

### Salient Features

#### 1. Universal Applicability [Section 1]

The Code applies to **ALL employees** in both organized and unorganized



sectors — irrespective of wage ceiling. Earlier, the Minimum Wages Act only covered “scheduled employments.” Now, every worker in India is covered.

## *2. Uniform Definition of Wages [Section 2(y)]*

A uniform definition of “wages” is adopted across all labour codes:

- Includes basic pay, DA, retaining allowance
- Excludes bonus, HRA, overtime, conveyance, PF, gratuity
- **Anti-abuse rule:** Excluded components cannot exceed 50% of total remuneration

## *3. Floor Wage [Section 9]*

A NEW concept introduced. The Central Government, after consulting State governments and the Central Advisory Board, fixes a **NATIONAL FLOOR WAGE** based on minimum living standards.

- State governments cannot fix minimum wages BELOW this floor wage
- Different floors may be fixed for different geographical regions
- Eliminates wide State-to-State variation

## *4. Fixation of Minimum Wages [Section 6]*

The “appropriate government” (Centre/State) fixes minimum wages considering:

- **Skill level** of workers (unskilled / semi-skilled / skilled / highly skilled)
- **Geographical area** (rural / urban / metropolitan)
- **Difficulty and hazard** involved in work
- **Cost of living index**

## *5. Components of Minimum Wage [Section 6(6)]*

Minimum wage may include:

- Basic wage
- Cost of living allowance (DA)
- Cash value of essential commodities supplied at concessional rate

## *6. Revision of Minimum Wage [Section 8]*

Appropriate government **shall review or revise** minimum wages at intervals **not exceeding 5 YEARS**.

Two procedures:

- **Committee Method** — Government appoints committees to advise
- **Notification Method** — Government publishes proposals and invites objections

## *7. Payment of Wages [Sections 15-17]*

- **Daily wage workers** — at end of shift

- **Weekly** — on last working day
- **Fortnightly** — within 2 days of end of period
- **Monthly** — by the **7th of next month**
- **On termination/dismissal** — within **2 working days**

Wages must be paid in:

- Coins or currency notes
- Cheque
- Direct bank credit (with employee's consent — now common above prescribed limit)

### *8. Equal Remuneration [Section 3]*

No discrimination among male, female, and transgender employees in matters of:

- Wages for SAME or SIMILAR WORK
- Recruitment for same/similar work
- Conditions of employment

This **expands protection beyond the male-female binary** of the 1976 Equal Remuneration Act.

### *9. Authorized Deductions [Section 18]*

Deductions allowed only for:

- Fines
- Absence from duty
- Damages
- Recovery of advances, loans
- Income tax, ESI, PF
- Court-ordered deductions, etc.

**Total deductions cannot exceed 50%** of wages.

### *10. Fines [Section 19]*

- Cannot exceed 3% of wages
- No fines on workers below 15 years
- Show-cause opportunity required
- Money to be used for workers' benefit

### *11. Inspector-cum-Facilitator [Section 51]*

Replaces the old "Inspector" system. The officer now:

- **Advises and helps employers** comply
- Inspects only on specific complaints / random basis
- Promotes "**ease of doing business**" philosophy

## 12. Penalties [Sections 54-56]

- **First offence:** Fine up to Rs.50,000
- **Repeat offence within 5 years:** Imprisonment up to 3 months + fine up to Rs.1 lakh
- **False statement:** Imprisonment 6 months + fine Rs.50,000
- **Compounding** of offences allowed for first-time minor offences

## 13. Limitation Period [Section 45]

Worker can file a claim within **3 YEARS** from the date wages became payable. (Earlier it was 1 year under the Minimum Wages Act — extended in the Code.)

## 14. Advisory Boards [Sections 42-43]

- **Central Advisory Board** — advises Central Government
- **State Advisory Boards** — advise State Governments
- Composition: Government, employers, workers, women representatives (**1/3rd women mandatory**)

## Important Case Laws

⚖️ **Case:** *People's Union for Democratic Rights v. Union of India (1982)* — Non-payment of minimum wage = forced labour under Article 23.

⚖️ **Case:** *Crown Aluminium Works v. Their Workmen (1958)* — Minimum wage non-negotiable.

⚖️ **Case:** *Sanjit Roy v. State of Rajasthan (1983)* — Famine relief workers entitled to minimum wages.

## Conclusion

The Code on Wages, 2019 is a **landmark reform** that universalizes wage protection, modernizes labour administration, and aligns India with ILO standards. By introducing a national floor wage, including unorganized workers, and broadening gender protection (covering transgender persons), it carries forward the spirit of the **Whitley Commission** and the **Directive Principles of State Policy (Articles 39 and 43)**. Its true success depends on effective implementation and timely revision of wages.

## B.3 — Procedure for Fixing & Revising Minimum Wages



### Introduction

The **fixation and revision of minimum wages** is one of the most critical functions under the **Code on Wages, 2019**. It directly determines the income of crores of workers and ensures they receive at least a wage that can sustain bare subsistence. The Code provides a **structured procedure** for both fixation and revision, balancing worker protection with industry concerns. This procedure has its roots in the **Whitley Commission (1929)** and was developed through the **Minimum Wages Act, 1948** before being modernized in the Code.

## Statutory Basis

- **Section 5** — No employer shall pay less than minimum wage
- **Section 6** — Power to fix minimum wages
- **Section 7** — Components of minimum wage
- **Section 8** — Procedure for revising minimum wages
- **Section 9** — National Floor Wage

## Appropriate Government

For fixing minimum wages:

- **Central Government** — for:
  - Railways
  - Mines
  - Oil fields
  - Major ports
  - Central public sector undertakings
- **State Government** — for all other employments in the State

## Factors Considered in Fixation [Section 6]

The appropriate government fixes minimum wages considering:

### *1. Skill of Worker*

Workers are categorized:

- **Unskilled** — manual labour, no special training
- **Semi-skilled** — some training/experience required
- **Skilled** — substantial training/expertise
- **Highly skilled** — technical/professional skills

### *2. Geographical Area*

- **Rural** — typically lowest minimum wage
- **Urban** — moderate
- **Metropolitan** — highest (due to higher cost of living)

### *3. Nature of Work*

- **Difficulty** — heavy manual work, hazardous work
- **Hazard** — exposure to dangerous substances, accidents
- **Special factors** — night shifts, underground work

### *4. Cost of Living Index*

- Consumer Price Index (CPI) for industrial workers
- Updated periodically by Labour Bureau
- Ensures wages keep pace with inflation

### *5. Other Factors*

- National Floor Wage (Section 9) — must be at or above

- Productivity considerations
- Industry's capacity in specific cases

## Components of Minimum Wage [Section 7]

Minimum wage may consist of:

- **Basic rate of wages** (cash)
- **Cost of living allowance (Dearness Allowance)** — revised periodically based on CPI
- **Cash value of concessions** — supply of essential commodities (food grains, etc.) at subsidized rates

## Procedure for Fixation

### *Method 1: Committee Method [Section 8(1)(a)]*

1. Appropriate government **constitutes a Committee** to study and recommend
2. Committee composition:
  - Representatives of **employers**
  - Representatives of **workers**
  - **Independent members** (experts, government nominees)
  - **One-third women members** (mandatory under the Code)
3. Committee examines:
  - Cost of living data
  - Existing wage levels
  - Industry conditions
  - Comparable employments
4. Committee submits **report with recommendations**
5. Government considers recommendations
6. **Notification** in Official Gazette fixing minimum wage

### *Method 2: Notification Method [Section 8(1)(b)]*

1. Appropriate government publishes **proposed minimum wages** in Official Gazette
2. Calls for **objections and suggestions** from public
3. Gives **at least 2 months** for representations
4. After considering objections — **final notification** issued
5. Minimum wage comes into force on notified date

## Procedure for Revision [Section 8]

### *When Revision Required*

- **At intervals not exceeding 5 YEARS** [Section 8(2)]
- May be revised **earlier** if circumstances warrant
- Revision can be triggered by:
  - Significant change in cost of living
  - Industry conditions

- Worker representations
- Government policy

### Procedure

Same as fixation — Committee Method or Notification Method.

### Variable Dearness Allowance (VDA)

- DA component may be **automatically revised** every 6 months
- Based on Consumer Price Index changes
- Eliminates need for full revision frequently
- Most States follow this

### Special Provisions

#### National Floor Wage [Section 9]

- Central Government fixes National Floor Wage
- All State minimum wages must be **AT OR ABOVE** the floor
- Different floors may be fixed for different geographical regions

#### Different Wages for Different Categories

The appropriate government may fix different minimum wages for:

- Different scheduled employments
- Different classes of work in the same employment
- Adults, adolescents, children, apprentices
- Different localities

### Effect of Fixation/Revision

- All employers must pay at the fixed rate or above
- **Non-payment is a criminal offence** [Section 54]
- Workers can file claim under Section 45 (within 3 years)
- Amount due is recoverable as **arrears of land revenue**
- Employer cannot pay less by contract or settlement

### Penalty for Non-Compliance [Section 54]

- **First offence:** Fine up to Rs.50,000
- **Repeat (within 5 years):** Imprisonment up to 3 months + fine up to Rs.1 lakh
- **False statement to evade payment:** Imprisonment 6 months + fine Rs.50,000

### Case Laws

🔪 **Case:** *Workmen v. Reptakos Brett & Co. (1992)* — SC laid down 6 components of need-based minimum wage:

- 3 consumption units per earner
- 2,700 calories per day

- 18 yards of cloth per year
- Rent at industrial housing rate
- Fuel and lighting at 20%
- Additional 25% for education, medical, contingencies

⚖️ **Case:** *Hydro (Engineers) v. Workmen (1969)* — Industry's capacity to pay should be considered in some balanced way for minimum wage fixation.

⚖️ **Case:** *Crown Aluminium Works v. Workmen (1958)* — Minimum wage is non-negotiable; if industry cannot afford, it must close.

⚖️ **Case:** *Edward Mills v. State of Ajmer (1955)* — Wage fixation cannot be challenged merely because employer cannot pay.

⚖️ **Case:** *Sanjit Roy v. State of Rajasthan (1983)* — Famine relief workers entitled to minimum wage; non-payment = forced labour.

## Conclusion

The procedure for fixing and revising minimum wages under the Code on Wages, 2019 is a **structured, participatory, and time-bound** process. By providing two methods (Committee and Notification), mandating revision every 5 years, requiring one-third women representation, and establishing the National Floor Wage, the Code ensures that minimum wages **keep pace with economic realities** and **protect workers from exploitation**. The procedure embodies India's constitutional commitment under **Articles 39, 41, 42, and 43** to a just and humane wage framework. The challenge ahead is **effective implementation** — especially in the unorganised sector where minimum wage violations remain widespread.

## B.4 — Authorized Deductions & Claims Procedure under Code on Wages, 2019 ★★★★★

### Introduction

The Code on Wages, 2019 protects workers' wages from arbitrary deductions by employers. The principle is simple: **wages earned are sacred** and cannot be withheld or reduced except for purposes specifically authorized by law. This essay examines the framework of authorized deductions, fines, and the claims procedure available to workers when wages are unlawfully withheld.

### Background

Before the Code on Wages, 2019, deductions from wages were governed by the **Payment of Wages Act, 1936** — itself a direct outcome of the **Whitley Commission (1929)** recommendations. The new Code consolidates and modernizes these provisions while extending universal coverage.

### General Rule

**Section 18** of the Code on Wages, 2019 establishes the basic rule:

“An employer **cannot make any deduction** from the wages of an employee except in the manner provided in the Code.”

### Authorized Deductions [Section 18(2)]

The following are the ONLY authorized deductions:

#### *(a) Fines*

Imposed under Section 19, subject to strict limits.

#### *(b) Absence from Duty*

- Deduction proportionate to period of absence
- Where absence is by way of strike or group desertion — additional deductions allowed

#### *(c) Damage to or Loss of Goods*

- Goods expressly entrusted to employee for custody
- Loss of money for which he is required to account
- Only when caused by employee's **neglect or default**

#### *(d) House Accommodation*

Supplied by employer or by government / public authority.

#### *(e) Amenities and Services*

Authorized by appropriate government — but **NOT tools and protective equipment** required for work.

#### *(f) Recovery of Advances and Loans*

- Advances of wages
- Festival advances
- Loans granted for purposes specified

#### *(g) Recovery of Over-payment of Wages*

Where wages have been paid in excess by mistake.

#### *(h) Income Tax*

Payable by the employee.

#### *(i) Court-Ordered Deductions*

Pursuant to court orders — maintenance, arrears, etc.

#### *(j) Statutory Contributions*

- Provident Fund (PF)
- Employees' State Insurance (ESI)
- Other statutory contributions



#### *(k) Co-operative Society Subscriptions*

For societies recognized by appropriate government.

#### *(l) Insurance Premium*

With employee's **written consent** only.

#### *(m) Welfare Fund Loans*

Recovery of loans from welfare/labour funds.

#### *(n) PM National Relief Fund*

Contributions with employee's consent.

#### *(o) Trade Union Fee*

Check-off deduction with employee's written consent.

### **Limits on Total Deductions [Section 18(3)]**

- **Total deductions cannot exceed 50%** of wages in any wage period
- **Exception:** Co-operative society dues — limit raised to **75%**
- Excess must be **carried forward** to next wage period

### **Fines under Section 19**

Strict rules govern fines:

- Cannot exceed **3% of wages** in any wage period
- Cannot be imposed on workers **below 15 years**
- Recovered within **90 days** of the act
- Cannot be imposed in **instalments**
- Must be entered in a **prescribed register**
- Fines collected must be applied for **workers' benefit**
- Worker must be given **show-cause opportunity** before imposing fine
- List of fineable acts must be displayed in **English + local language**

### **Timely Payment of Wages [Section 17]**

The Code mandates strict timelines:

- **Daily** wage workers — at end of shift
- **Weekly** — on last working day
- **Fortnightly** — within 2 days
- **Monthly** — by the **7th of next month**
- **On termination/dismissal** — within **2 working days**

### **Claims Procedure [Section 45]**

#### *1. Filing of Claim*

Worker can file claim for:

- Non-payment of wages
- Underpayment of minimum wages
- Wrongful deductions
- Non-payment of bonus
- Failure to pay equal remuneration

**Limitation period: 3 YEARS** from the date claim becomes due.

## 2. Authority to Hear Claims

- Appropriate government appoints authority (Gazetted Officer rank or above)
- Authority has **powers of a civil court**:
  - Summoning witnesses
  - Examining on oath
  - Requiring production of documents

## 3. Hearing and Award

- Authority hears both parties
- Decides claim on merits
- May award:
  - The amount due
  - **Up to 10 times the amount as compensation** [Section 45(2)]
- Order is final unless appealed

## 4. Appeal [Section 49]

- To appellate authority notified by appropriate government
- Limitation: **90 days** from the order
- Employer must deposit **50% of amount** before appeal
- Further appeal to High Court only on substantial question of law

## 5. Recovery [Section 45(7)]

- Amount due is recoverable as **ARREARS OF LAND REVENUE**
- Authority issues certificate to **Collector**
- Collector may:
  - Attach property
  - Sell movable/immovable assets
  - Recover from bank accounts

## Penalty for Non-Compliance [Section 54]

- **First offence**: Fine up to Rs.50,000
- **Subsequent offence within 5 years**: Imprisonment up to 3 months + fine up to Rs.1 lakh
- **False statement**: Imprisonment 6 months + fine Rs.50,000
- **Compounding** of offences allowed for first-time minor offences

## Case Laws

🏛️ **Case:** *Bombay Anand Bhavan Restaurant v. Industrial Tribunal (1969)* —

Unauthorized deductions cannot be justified by custom or practice.

⚖️ **Case:** *Arvind Mills v. K.R. Gadgil (1941)* — Deductions must be strictly within authorized categories.

⚖️ **Case:** *People's Union for Democratic Rights v. Union of India (1982)* — Underpayment of minimum wage is forced labour.

⚖️ **Case:** *Crown Aluminium Works v. Workmen (1958)* — Workers must be paid; employer's inability is no defence.

## Conclusion

The framework of authorized deductions under Code on Wages, 2019 strikes a careful balance — protecting workers from arbitrary deductions while permitting legitimate ones. The robust claims procedure, with recovery as arrears of land revenue and compensation up to 10 times, ensures that workers' rights are not merely theoretical. By extending coverage to all employees and providing a 3-year limitation period, the Code significantly strengthens worker protection in line with **Article 23** (no forced labour) and **Article 43** (decent standard of life) of the Constitution.

## PART C — PROBLEM QUESTIONS (10 marks each)

💡 **TIP FOR PART C:** Always use IRAC method:

- Issue — what is the legal question?
- Rule — what law/section applies?
- Application — apply law to facts
- Conclusion — clear yes/no answer

### C.1 — Factory pays workers below the State-notified Minimum Wage. Legal position? ★★★★★

#### Facts

A factory in a scheduled employment pays its workers **Rs.250/day**, whereas the State Government has notified the minimum wage for that employment at **Rs.350/day**. Workers approach the authority for relief.

#### Issue

- (1) Whether the employer is liable for underpayment of minimum wage?
- (2) What is the remedy available to workers?

#### Rule (Applicable Law)

- **Section 5 of Code on Wages, 2019** — No employer shall pay any employee wages **less than the minimum wage** notified
- **Section 6** — Minimum wage may be fixed for time work or piece work
- **Section 9** — National Floor Wage as base

- **Section 45** — Claims procedure (within 3 years)
- **Section 54** — Penalties: fine up to Rs.50,000 (first offence); imprisonment up to 3 months + fine up to Rs.1 lakh (repeat)
- **Article 23 of Constitution** — Non-payment of minimum wage = forced labour
- **Article 43** — Living wage for all workers

### Application

- The State Government has **notified Rs.350/day** as minimum wage
- Employer is paying only **Rs.250/day** — clearly below the notified minimum
- This is a **direct violation** of Section 5 of the Code
- The shortfall is **Rs.100/day per worker**
- Employer cannot escape liability by citing — financial hardship, custom, contract, or worker's consent
- *Crown Aluminium Works v. Workmen* (1958) — minimum wage must be paid even if industry cannot afford it
- *PUDR v. Union of India* (1982) — non-payment = forced labour

### Remedy Available to Workers

1. **File claim under Section 45** before the appointed authority (within 3 years)
2. **Authority can award:**
  - The shortfall (Rs.100/day × days worked)
  - Up to **10 times** the amount as compensation
3. **Trade union or Inspector-cum-Facilitator** can also file on behalf of workers
4. **Penalty on employer:**
  - First offence: Fine up to Rs.50,000
  - Repeat offence within 5 years: Imprisonment up to 3 months + fine up to Rs.1 lakh
5. **Recovery as arrears of land revenue** through Collector
6. **Writ petition** under Article 32/226 — non-payment violates Article 23

### Case Laws

⚖️ **Case:** *Crown Aluminium Works v. Their Workmen* (1958) — Minimum wage must be paid even if industry cannot afford it; if not, it must close down.

⚖️ **Case:** *People's Union for Democratic Rights v. Union of India* (1982) — Non-payment of minimum wage = forced labour under Article 23.

⚖️ **Case:** *Sanjit Roy v. State of Rajasthan* (1983) — Even famine relief workers entitled to minimum wages.

⚖️ **Case:** *Workmen v. Reptakos Brett* (1992) — Detailed criteria for fixing minimum wages.

## Conclusion

**YES**, the employer is **LIABLE for underpayment** of minimum wage. Non-payment of minimum wage is a violation of:

- Section 5 of the Code on Wages, 2019 (statutory)
- Article 23 of the Constitution (forced labour)
- Article 43 (living wage mandate)

Workers can:

- File a claim under Section 45 within 3 years
- Recover shortfall + compensation up to 10 times
- The employer faces fine up to Rs.50,000 (first offence) and imprisonment for repeat offences

Even financial hardship of the employer is **NO defence** — minimum wage is **non-negotiable** [*Crown Aluminium*].

## C.2 — Employer deducts 60% of worker's wage. Valid?



### Facts

An employer deducts **60% of a worker's monthly wage** citing various reasons — advances, damage to goods, fines, and statutory contributions. Worker challenges the deduction.

### Issue

Whether deduction of 60% of wages is valid under the Code on Wages, 2019?

### Rule (Applicable Law)

- **Section 18(2) of Code on Wages, 2019** — lists authorized deductions
- **Section 18(3)** — **Total deductions cannot exceed 50%** of wages in any wage period
- **Exception:** For co-operative society dues, limit raised to **75%**
- **Excess deductions** must be **carried forward** to next wage period
- **Section 19** — Fines cannot exceed 3% of wages
- **Section 45** — Worker can file claim for unlawful deductions; compensation up to 10 times the amount due

### Application

- Deductions of 60% **exceed the statutory limit of 50%**
- Unless the deduction is specifically for **co-operative society dues**, the 60% deduction is **ILLEGAL**
- Even if individual deductions (advances, damages, fines, statutory contributions) are themselves authorized, the **cumulative total** cannot exceed 50%
- The employer must reduce the deduction to 50% and **carry forward**

- **the excess (10%)** to next wage period
- The worker can claim:
  - **Refund** of excess (10% extra)
  - **Compensation up to 10 times** the excess amount
- File claim under Section 45 within 3 years

### Case Laws

⚖️ **Case:** *Bombay Anand Bhavan Restaurant v. Industrial Tribunal (1969)* — Deductions must be strictly within statutory limits.

⚖️ **Case:** *Arvind Mills v. K.R. Gadgil (1941)* — Unauthorized deductions cannot be justified by custom or contract.

⚖️ **Case:** *PUDR v. Union of India (1982)* — Underpayment / arbitrary deduction is forced labour under Article 23.

### Conclusion

**NO**, the 60% deduction is **INVALID** under Section 18(3) of the Code on Wages, 2019. The maximum permissible deduction is **50%** (75% only for co-operative society dues). The employer must:

- Reduce deduction to **50% maximum**
- **Carry forward** the excess (10%) to next wage period
- **Refund** any wrongful deduction with compensation

The worker can **file a claim under Section 45** within 3 years, and the authority may award the amount due plus compensation **up to 10 times**. The employer also faces a penalty under Section 54 (fine up to Rs.50,000 for first offence).

## C.3 — Employer imposes Rs.1,000 fine on worker earning Rs.20,000. Valid? ★★★★★

### Facts

An employer imposes a **fine of Rs.1,000** on a worker earning **Rs.20,000/month**, citing negligence at work. No prior show-cause notice was given. The worker disputes the fine.

### Issue

- (1) Whether the fine of Rs.1,000 imposed on the worker is valid?
- (2) Whether absence of show-cause notice affects validity?

### Rule (Applicable Law)

- **Section 19 of Code on Wages, 2019** — Rules on Fines
- Maximum fine = **3% of wages** in any wage period
- For Rs.20,000 wage → maximum permissible fine = **Rs.600**
- Procedural requirements:
  - **Show-cause notice** mandatory (natural justice)

- List of fineable acts must be **displayed**
- Recovered within **90 days**
- Entered in **register**
- Money to be used for **workers' benefit**
- No fine on workers below 15 years

## Application

### 1. Quantum of Fine

- Worker's wage: Rs.20,000/month
- Maximum fine under Section 19 =  $3\% \times \text{Rs.20,000} = \text{Rs.600}$
- Actual fine imposed = Rs.1,000
- **Excess fine = Rs.400**
- This portion is clearly **ILLEGAL**

### 2. Procedural Lapse

- **No show-cause notice given** before imposing fine
- Violates principles of **natural justice** (audi alteram partem)
- Worker had no opportunity to explain his side
- This makes the entire fine procedurally invalid, not just the excess

### 3. Other Possible Lapses to Check

- Was the act of "negligence" on the displayed list of fineable acts?
- Was the fine entered in register?
- Was the fine recovered within 90 days?
- Is the fine money being used for workers' benefit?

## Case Laws

⚖️ **Case:** *Wenger & Co. v. Workmen (1963)* — Domestic enquiry/show-cause notice mandatory before penal action.

⚖️ **Case:** *Bombay Anand Bhavan Restaurant v. Industrial Tribunal (1969)* — Strict compliance with procedural requirements for deductions/fines.

⚖️ **Case:** *Maneka Gandhi v. Union of India (1978)* — Natural justice principles apply to all administrative/quasi-judicial actions affecting rights.

## Conclusion

**NO**, the fine of Rs.1,000 is **INVALID** on **two grounds**:

1. **Quantum:** Exceeds the 3% statutory limit (max permissible Rs.600); excess Rs.400 is clearly illegal
2. **Procedure:** Show-cause notice not given — violates natural justice

The worker can:

- File **claim under Section 45** for refund of Rs.1,000 + compensation up to 10 times
- The fine should be either:

- Set aside entirely (due to procedural lapse)
- At least reduced to maximum Rs.600 (and only if show-cause given)
- Employer faces penalty under Section 54 for unauthorized deduction

The case underscores that **finances are not employer's discretionary power** — they are tightly regulated by Section 19 of the Code on Wages, 2019.

## C.4 — Employer pays monthly wages on 15th of next month. Valid?



### Facts

A company employs 100 workers and pays their **monthly wages on the 15th of the following month**, instead of by the 7th. Workers complain.

### Issue

Whether paying monthly wages on the 15th of the next month complies with the Code on Wages, 2019?

### Rule (Applicable Law)

- **Section 17 of Code on Wages, 2019** — Timely Payment of Wages
- Strict timelines prescribed:
  - **Daily** workers — at end of shift
  - **Weekly** — last working day of week
  - **Fortnightly** — within 2 days of end
  - **Monthly** — by the **7th of next month** ★
  - **On termination** — within 2 working days
- **Section 54** — Penalties for non-compliance
- **Section 45** — Worker can claim delayed wages + compensation

### Application

- Wages paid on **15th of next month** — that is **8 days AFTER** the statutory deadline (7th)
- This is a **VIOLATION of Section 17**
- Delay is not a minor lapse — it is a recurring violation affecting 100 workers
- Workers face hardship — bills, EMLs, expenses cannot wait

### Consequences for Employer

1. **Workers can file claim under Section 45** within 3 years:
  - Recover delayed wages
  - Compensation up to **10 times** the amount
2. **Penalty under Section 54:**
  - First offence: Fine up to **Rs.50,000**
  - Repeat (within 5 years): Imprisonment up to 3 months + fine up



to Rs.1 lakh

3. **Inspector-cum-Facilitator** can take suo motu action
4. **Multiple violations** — fine multiplied by number of workers affected (100 workers)

### Acceptable Reasons (Limited)

The Code does not allow general extensions. However:

- Bank holidays — payment shifted to previous working day (not later)
- Disputed amounts — may be paid pending resolution
- Death/holiday — does not justify general delay

The employer cannot cite “company practice” or “always done this way” as defence.

### Case Laws

🔪 **Case:** *Bombay Anand Bhavan Restaurant v. Industrial Tribunal (1969)* — Statutory timelines must be strictly followed.

🔪 **Case:** *Arvind Mills v. K.R. Gadgil (1941)* — Custom cannot override statute.

🔪 **Case:** *PUDR v. Union of India (1982)* — Wage delays cause hardship; violations attract Article 23.

### Conclusion

**NO**, paying monthly wages on the 15th of the next month does **NOT COMPLY** with Section 17 of the Code on Wages, 2019, which mandates payment **by the 7th of the next month**. The 8-day delay is a clear violation.

Workers can:

- File claim under Section 45 for delayed wages + compensation
- Approach Inspector-cum-Facilitator for action
- Together file claims for all 100 affected workers

The employer faces:

- Penalty up to Rs.50,000 (first offence)
- Compensation orders to workers
- Order to comply with statutory timelines going forward

The case emphasizes that **timely payment of wages is a fundamental right**, traceable to **Whitley Commission (1929)** recommendations.

## C.5 — State Government fixes minimum wage below National Floor Wage. Valid? ★★★★★

### Facts

The Central Government has fixed the **National Floor Wage at Rs.178/day**. A State Government notifies a **minimum wage of Rs.150/day** for unskilled workers in a scheduled employment. Workers challenge this.

### Issue

Whether a State Government can fix a minimum wage below the National Floor Wage notified by the Central Government?

### Rule (Applicable Law)

- **Section 9 of Code on Wages, 2019** — National Floor Wage
- Central Government fixes National Floor Wage based on minimum living standards
- **State governments CANNOT fix minimum wages BELOW the National Floor Wage**
- Floor wage is **BINDING** on all States
- **Section 6** — State's power to fix minimum wage is subject to Section 9 floor
- States may fix **HIGHER**, but not lower
- **Section 5** — Employers must pay at least minimum wage (which itself must be at or above floor)

### Application

- Central Government has fixed **Rs.178/day** as National Floor Wage
- State has notified only **Rs.150/day** — that is Rs.28/day **BELOW** the floor
- This is a **clear violation** of Section 9 of the Code on Wages, 2019
- The State Government has acted **beyond its authority** (ultra vires)
- The State notification is **legally invalid** to the extent it falls below floor

### Effect

- The State minimum wage of Rs.150/day is **VOID** to the extent below floor
- All workers automatically entitled to at least **Rs.178/day** (the floor)
- Employers must pay at least Rs.178/day
- Workers can claim difference + compensation

### Remedies Available to Workers

1. **Writ petition under Article 226** before the High Court:
  - Challenge State notification as ultra vires
  - Seek direction to fix wage at or above floor
2. **Public Interest Litigation (PIL)** — for collective benefit of all affected workers

3. **Claim under Section 45** of the Code:
  - Recover difference between Rs.178 and actual wage paid
  - Compensation up to 10 times
4. **Representation to Central Government** to enforce Section 9
5. **Trade union action** — collective bargaining

### What Should the State Do?

- Revise minimum wage to at least Rs.178/day
- Issue corrective notification
- Direct employers to comply with corrected wage
- Pay arrears with interest

### Constitutional Aspect

- **Article 254** — Central law prevails over inconsistent State action
- **Article 23** — Non-payment of minimum wage = forced labour
- State's action also violates **Article 43** (living wage mandate)

### Case Laws

⚖️ **Case:** *PUDR v. Union of India (1982)* — Underpayment is forced labour under Article 23.

⚖️ **Case:** *Sanjit Roy v. State of Rajasthan (1983)* — State cannot pay below minimum wage even in famine relief.

⚖️ **Case:** *Edward Mills v. State of Ajmer (1955)* — Minimum wage fixation cannot be challenged on capacity grounds.

⚖️ **Case:** *Workmen v. Reptakos Brett (1992)* — Need-based minimum wage criteria.

### Conclusion

**NO**, the State Government **CANNOT** fix minimum wage below the National Floor Wage. The Rs.150/day notification is **INVALID** to the extent it falls below the Central floor of Rs.178/day.

This is because:

- **Section 9** of Code on Wages, 2019 makes the National Floor Wage **binding** on all States
- The State's notification is **ultra vires** to that extent
- Workers are automatically entitled to **at least Rs.178/day**

Workers can:

- File writ petition before High Court
- Claim arrears under Section 45 (10× compensation)
- Approach Inspector-cum-Facilitator

The State must:

- Issue corrective notification at or above Rs.178/day
- Direct employers to comply
- Pay arrears to affected workers

This case illustrates the **importance of National Floor Wage** — preventing race-to-the-bottom by States and ensuring universal minimum protection across India.

## UNIT I — QUICK REVISION SHEET

### Key Sections of Code on Wages, 2019 (Unit I Topics)

| Section       | Topic                                  |
|---------------|----------------------------------------|
| Section 1     | Universal applicability                |
| Section 2(y)  | Definition of wages                    |
| Section 3     | Equal Remuneration                     |
| Section 5     | No employer to pay below minimum wage  |
| Section 6     | Power to fix minimum wage              |
| Section 7     | Components of minimum wage             |
| Section 8     | Procedure for revision of minimum wage |
| Section 9     | National Floor Wage                    |
| Section 15-17 | Timely payment of wages                |
| Section 18    | Authorized deductions                  |
| Section 19    | Fines                                  |
| Section 42-43 | Advisory Boards                        |
| Section 45    | Claims procedure                       |
| Section 49    | Appeal procedure                       |
| Section 51    | Inspector-cum-Facilitator              |
| Section 54-56 | Penalties                              |

### Key Numbers to Remember

| Concept                   | Number                      |
|---------------------------|-----------------------------|
| Whitley Commission set up | 1929                        |
| Whitley Commission Report | 1931                        |
| Fair Wages Committee      | 1948 (Justice Divatia)      |
| Code on Wages assented    | 8 August 2019               |
| Payment by                | 7th of next month           |
| Max total deductions      | 50% (75% for co-op society) |
| Max fine                  | 3% of wages                 |
| No fine below             | 15 years                    |

| Concept                    | Number               |
|----------------------------|----------------------|
| Fine recovery within       | 90 days              |
| Min wage revision interval | 5 years              |
| Women in Advisory Board    | 1/3rd minimum        |
| Claim limitation           | 3 years              |
| Appeal limitation          | 90 days              |
| Appeal deposit             | 50% of amount        |
| Penalty 1st offence        | Up to Rs.50,000      |
| Penalty repeat             | 3 months + Rs.1 lakh |
| Compensation up to         | 10× amount due       |

### Top 8 Cases for Unit I

1. **Crown Aluminium Works v. Workmen (1958)** — Min wage non-negotiable
2. **Standard Vacuum v. Workmen (1961)** — Three wage concepts
3. **Workmen v. Reptakos Brett (1992)** — 6 components of min wage
4. **Hydro Engineers v. Workmen (1969)** — Industry capacity for min wage
5. **PUDR v. Union of India (1982)** — Min wage non-payment = forced labour
6. **Sanjit Roy v. Rajasthan (1983)** — Famine workers entitled to min wage
7. **Bombay Anand Bhavan v. Industrial Tribunal (1969)** — Deductions strictly per statute
8. **Edward Mills v. State of Ajmer (1955)** — Wage fixation not challengeable on capacity grounds

### Memory Mnemonics

- **Whitley:** "19-29 Whitley came, 19-31 the report became"
- **Three Wages:** "MFL = Minimum, Fair, Living"
- **Code on Wages 2019:** "Four laws into one — Payment of Wages, Min Wages, Bonus, Equal Remuneration"
- **Deductions:** "50% normal, 75% co-op, 3% fine"
- **Payment Timeline:** "Daily-shift, Weekly-last day, Monthly-7th, Termination-2 days"
- **Floor Wage:** "Centre's floor, States build above"
- **Min Wage Factors:** "Skill, Area, Difficulty, Cost"

### Top Trap Questions

- **"Employer pays below State min wage citing loss?"** → Liable; Crown Aluminium principle
- **"Deductions 60%?"** → Invalid; max 50%
- **"Fine 5% of wages?"** → Invalid; max 3%
- **"State fixes wage below floor?"** → Invalid; Section 9 binding
- **"Monthly wage paid on 10th?"** → Late; deadline is 7th
- **"No show-cause before fine?"** → Invalid; violates natural justice

*End of Unit I — Wages / Labour Law-II / Osmania University LLB 3-YDC IV  
Semester*